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Summary and Conclusion

We are starting the second decade of a half century that may well see the standard of living of the human race advance more than it has in the preceding five thousand years. Great have been the investment risks of the recent past. Even greater have been the financial rewards for the successful. However, in this field of investment, the risks and rewards of the past hundred years may be small beside those of the next fifty.

In these circumstances it may be well to take stock of our situation. We almost certainly have not conquered the business cycle. We may not even have tamed it. Nevertheless, we have added certain new factors that significantly affect the art of investment in common stocks. One of these is the emergence of modern corporate management, with all that this has done to strengthen the investment characteristics of common shares. Another is the economic harnessing of scientific research and developmental engineering.

The emergence of these factors has not changed the basic principles of successful common stock investment. It has made them more important than ever. This book has attempted to show what these basic principles are, what type of stock to buy, when to buy it, and most particularly, never to sell it—as long as the company behind the common stock maintains the characteristics of an unusually successful enterprise.

It is hoped that those sections dealing with the most common mistakes of many otherwise able investors will prove of some interest. It should be remembered, however, that knowing the rules and understanding these common mistakes will do nothing to help those who do not have some degree of patience and self-discipline. One of the ablest investment men I have ever known told me many years ago that in the stock market a good nervous system is even more important than a good head. Perhaps Shakespeare unintentionally summarized the process of successful common stock investment: “There is a tide in the affairs of men which, taken at the flood, leads on to fortune.”